



Export Education Levy Annual Report

For the financial year ended
30 June 2013

Table of contents

Background	3
The Export Education Levy.....	3
Purposes to which Levy funds may be put.....	3
Government agencies' responsibilities.....	4
Ministry of Education	4
Education New Zealand.....	5
Export Education Levy income and expenditure	5
Summary of income and expenditure	5
International student enrolments.....	5
Tuition fee income	7
Export Education Levy income by sector	7
Expenditure	8
Industry work programme	8
Research.....	8
Marketing and promotions	9
Reimbursement of international students.....	12
Administration and monitoring of the Code of Practice	12
Key tasks of the Pastoral Care Office	12
Approval of signatories	13
Ongoing monitoring of signatories	13
International Education Appeal Authority	13
International Education Review Panel	14
Administration of the Export Education Levy.....	14
Policy development.....	15
Transfer of responsibility for the Code of Practice for the Pastoral Care of International Students.....	15
Financial statements for the year ended 30 June 2013	16
Statement of responsibility.....	17
Independent auditor's report.....	18
Statement of accounting policies	19
Statement of financial position	21
Statement of financial performance	22
Statement of movements in equity.....	23
Statement of cash flows	24
Statement of commitments, contingent assets and liabilities	25
Notes to the financial statements.....	26

Background

This document reports on administration of the Export Education Levy for the financial year ended 30 June 2013, as required by section 238(l) of the Education Act.

The Export Education Levy

In 2003 the Government introduced a compulsory industry levy to fund a wide range of development and risk management initiatives for the export education sector. The Export Education Levy is authorised according to section 238 of the Education Act 1989. Regulations prescribing the levy first came into force on 10 January 2003.

Purposes to which Levy funds may be put

Section 238l of the Education Act states the purpose of the Export Education Levy, and stipulates that:

- (1) *The purposes to which the funds of the levy may be put are as follows:*
 - (a) *the development, promotion, and quality assurance of the export education sector, which may include (without limitation) —*
 - (i) *professional and institutional development; and*
 - (ii) *marketing; and*
 - (iii) *implementation of scholarship schemes; and*
 - (iv) *research, and resource development; and*
 - (v) *support (financial or otherwise) of other bodies engaged in the development, promotion, or quality assurance of the export education sector;*
 - (b) *the making of payments as set out in subsections (1A) and 1(B);*
 - (c) *the administration and audit of the code;*
 - (d) *the general administration of the levy and associated purposes.*
- (1A) *Subsection (1B) applies if —*
 - (a) *an international student is or was enrolled with a private training establishment for a course of study or training; and*
 - (b) *at the time of the student's enrolment the private training establishment held a current registration under Part 18; and*
 - (c) *the private training establishment has not, cannot, or will not provide, in whole or in part, the course of study or training.*
- (1B) *If this subsection applies, the funds of the levy may be used for any of the following:*
 - (a) *to make payment to any person to ensure the reimbursement of the student, in whole or in part, for tuition fees or for any payment other than tuition fees made by or on behalf of that student to the private training establishment in respect of the student's course of study or training if, and to the extent that,*
 - (i) *the private training establishment has not refunded the tuition fees or other payment; and*

- (ii) *the agency responsible for the administration of the levy approves the reimbursement of the student as necessary and appropriate in the circumstances:*
- (b) *with the approval of the Minister, to reimburse the Crown for any sum provided by the Crown and paid to any person to ensure the reimbursement of the student, in whole or in part, for tuition fees or for any payment other than tuition fees made by or on behalf of that student to the private training establishment in respect of the student's course of study or training if, and to the extent that, -*
 - (i) *the private training establishment had not refunded the tuition fees or other payment; and*
 - (ii) *the agency responsible for the administration of the levy approved the reimbursement of the student as necessary and appropriate in the circumstances:*
- (c) *with the approval of the Minister, to reimburse, in whole or in part, the agency responsible for the administration of the levy, or any Crown entity, for –*
 - (i) *costs incurred by that agency or Crown entity in placing the student with an alternative provider; or*
 - (ii) *other costs incurred by that agency or Crown entity as a direct result of the private training establishment not providing the course of study or training.*

Government agencies' responsibilities

Ministry of Education

Annual Report to Parliament

Section 238I (3) of the Education Act refers to the requirement for an annual report on the Levy:

As soon as practicable after 1 July in each year, the agency responsible for the administration of the levy must present to the Minister an annual report on the administration of the levy, which must include audited financial statements prepared in accordance with generally accepted accounting practice; and the Minister must present a copy of the report to the House of Representatives.

Administration of the Levy collection and Trust Account

The levy is collected from education providers by the Ministry of Education and held in an Export Education Levy Trust Account, administered by the Ministry of Education. These funds are ring-fenced to ensure that strategic development work is on-going and securely resourced.

Administration and audit of the Code of Practice

During the financial year the Ministry of Education had responsibility for the administration of the Code of Practice for the Pastoral Care of International Students, funded by the Levy. From 1 August 2013 the responsibility for the Code moves to the New Zealand Qualification Authority (NZQA).

Refund of tuition fees to international students

The Ministry of Education, in conjunction with NZQA has responsibility for the refund of tuition fees for international students affected by the closure of private training establishments.

Education New Zealand

Education New Zealand is responsible for operating the promotions, market research and professional development projects which are funded from the Export Education Levy, with the bulk of ENZ operations funded by the Crown through Vote Tertiary Education.

Export Education Levy income and expenditure

The Export Education Levy is payable by any education provider that enrolls international fee-paying students. The Levy is made up of a flat fee component of \$185 (excluding GST) payable by each provider, together with 0.45% of tuition fee income (excluding GST). State and state integrated schools pay the Export Education Levy as a component of their International Student Levy.

Summary of income and expenditure

Income from the Export Education Levy for the year ended 30 June 2013 was \$3,471,238. This is a decrease of less than half a percent compared with the Levy income for the year ended 30 June 2012. Combined with the income from interest received and other income, total income was \$3,543,718.

Total expenditure during the financial year was \$3,366,816. This left an operating surplus of \$176,902 as reported in the Statement of Financial Performance for the year ended 30 June 2013.

After making allowance for the operating surplus this year the total equity in the Export Education Levy Trust Account as at 30 June 2013 was \$1,903,267

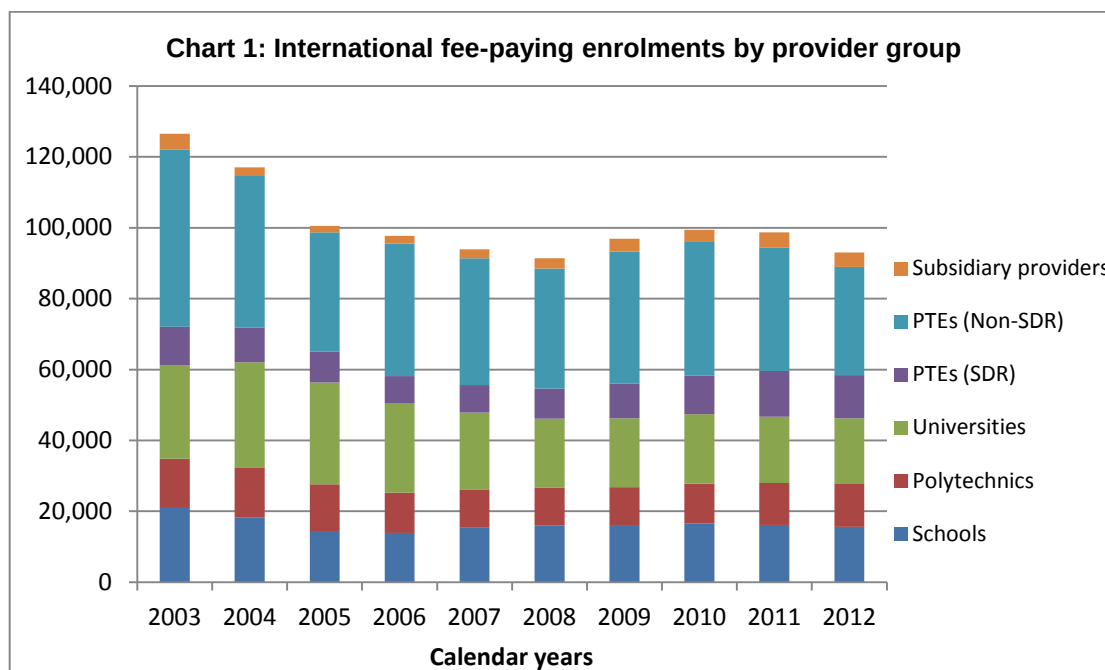
International student enrolments

Student enrolment statistics are collected on a trimester basis during each calendar year. During the 2012 calendar year enrolments of international fee-paying students totalled 92,995 which was a 6% decrease compared to enrolments during 2011. The reduction was likely to have been partly due to the consequences of the Christchurch earthquake of 22 February 2011, which has led to a marked fall in enrolments in Canterbury; and also to the rising value of the New Zealand dollar. The value of the currency is known to particularly affect enrolments in 'non-SDR PTEs', which are mainly English language providers.

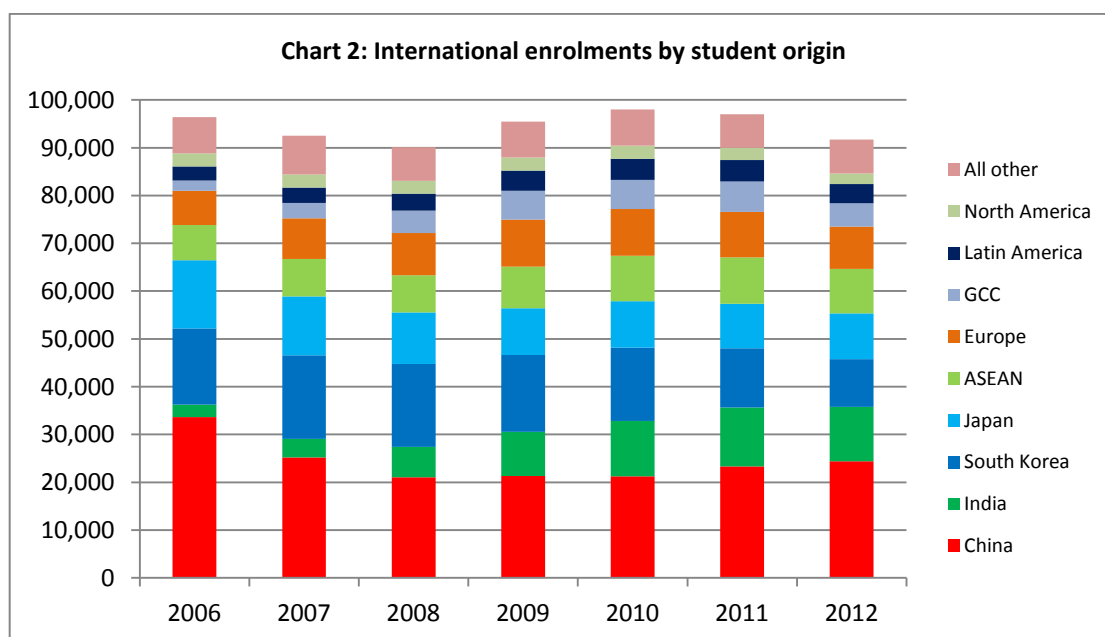
Information for the four-month period from 1 January to 30 April 2013 showed an overall 6% decrease in international fee-paying student enrolments, compared to the same period in 2012, from 59,964 to 56,238 enrolments.

Detailed Information on international student statistics can be found on www.educationcounts.govt.nz

A summary of international fee-paying student enrolments over the past 10 years is shown in chart 1. From a peak of 126,503 enrolments in 2003 there was a 28% decline to 91,388 enrolments in 2008, a subsequent 9% recovery to 99,446 enrolments during 2010, followed by declining enrolments in the last two years.



From 2006 the Export Education Levy system has requested information from providers on the nationalities of their students. A trend evident since 2010 has been the rise in enrolments of Chinese, and falls in South Korean students. From 2006 to 2011 there were rapid rises in students from India and the Gulf Co-Operation Council (GCC), though these dropped in 2012.



Notes: China includes the Hong Kong SAR. North America is a total for the USA & Canada. Gulf Co-Operation Council (GCC) is Saudi Arabia, Oman, Kuwait, Bahrain, Qatar & the United Arab Emirates

Tuition fee income

Total tuition fee revenue to education providers in the 2012 year was \$745.7 million. This was a 2% overall growth in tuition fee revenue from international fee-paying students over 2011. The universities earned 41% of this total, followed by private training establishments with 27%.

Table 1: Tuition fee income during the calendar years 2011 and 2012

International tuition revenues by provider groups	2011 (\$ million)	2012 (\$ million)	Proportion of total, 2012	Percentage change, 2011 - 2012
Primary schools	\$13.9	\$11.3	2%	-19%
Secondary schools	\$109.8	\$110.4	15%	1%
Polytechnics	\$90.5	\$94.9	13%	5%
Universities	\$292.7	\$308.9	41%	6%
Private Training Establishments (SDR Providers)	\$93.1	\$99.2	13%	7%
(Non-SDR Providers)	\$115.5	\$105.1	14%	-9%
Subsidiary Providers	\$16.8	\$15.9	2%	-5%
Totals	\$732.3	\$745.7	100%	2%

Export Education Levy income by sector

The Export Education Levy is collected from all education providers that enrol international fee-paying students.

The following table shows the breakdown by education sector, for the levy income between 1 July 2012 and 30 June 2013. Universities contributed the highest proportion of the levy (40%).

Table 2: Export Education Levy income by sector, year ended 30 June 2013

Sector	Number of providers	Levy Income \$ ex GST	% income by sector, 2011/12	% income by sector, 2012/13
Schools	616	\$638,925	19%	18%
Polytechnics	18	\$454,389	12%	13%
Universities	8	\$1,389,272	40%	40%
Private Providers	209	\$915,567	27%	27%
Subsidiary Providers ¹	7	\$73,085	2%	2%
TOTAL	858	\$3,471,238	100%	100%

¹ Subsidiary providers are separate language units at public tertiary institutions or registered schools.

Expenditure

Industry work programme

Education New Zealand (ENZ) has responsibility for managing and operating the industry work programme. The Crown Agency has a board consisting of up to seven members advised by Special Advisors including the Secretary for Education and the Deputy Chief Executive, Ministry of Business, Innovation and Employment, and a Stakeholder Advisory Committee.

The Stakeholder Advisory Committee is made up of representatives from across the industry. The Committee provides expert advice based on their knowledge and experience, to ensure that the needs of the industry are taken into account.

During this financial year ENZ have spent \$2,265,500 of Levy funding on the industry work programmes with a view to increasing the foreign exchange earnings for the industry from \$2.7 billion in 2011/12 to \$3.7 billion in 2014/15 and doubling the annual economic value to \$5.0 billion by 2025.

The international education markets targeted this financial year included China, India and Indonesia which are Tier 1 markets where there is significant government and/or industry interest.

Tier 2 markets include Malaysia, Thailand, Vietnam, South Korea, the Middle East, Brazil and Chile. A number of initiatives have been underway including market research, events and fairs and other marketing campaigns.

Research

Market research on student recruitment opportunities by education sector has been completed for seven key Chinese cities:

1. Beijing
2. Shanghai
3. Guangzhou
4. Chongqing/Chengdu
5. Hangzhou
6. Nanjing
7. Qingdao.

A large scale research report on the Indian market, that includes student survey results, has been completed. It includes information on decision making trends, competitor country analysis and identifies areas of focus to improve New Zealand's competitiveness.

Market research on student recruitment opportunities has been completed for the following target markets:

1. Malaysia
2. Vietnam
3. Thailand
4. Japan
5. South Korea
6. Indonesia (includes off-shore opportunities).

An economic impact value analysis of international education including student by country expenditure, return on marketing investment and revenue gained has been completed.

Marketing and promotions

Marketing and promotions include:

- events and agent seminars held in overseas countries
- awareness campaigns for China and India
- in-bound agent visits in regions
- e-learning for agents
- alumni events
- Facebook campaigns
- website development for the industry and potential overseas students
- search engine marketing
- other social media.

Events

During 2012/13 ENZ undertook 76 events. These included agent seminars and Alumni functions. The numbers of events are shown below for each tiered international education market:

Tier3	Tier2	Tier1
Colombia (0)	Brazil (3)	China (11)
Germany (8)	Chile (7)	India (9)
Japan (1)	Malaysia (9)	Indonesia (9)
The United States (1)	The Middle East (5)	
	South Korea (4)	
	Thailand (5)	
	Vietnam (4)	

ENZ has organized events in fifteen countries this year with 88% of institutions rating their overall satisfaction with ENZ events as 'very satisfied' or 'excellent'.

Marketing campaigns

A variety of marketing campaigns were held in the following countries:

- Malaysia - Virtual fashion show and campaign to get potential students to register for ENZ events and highlight the creative sector within New Zealand's Institutes of Technology and Polytechnics
- Indonesia – Awareness campaign (December 2012 – March 2013)
- India – Meet Stephen Fleming (April, May, June 2013)
- Brazil – Visit by bloggers and fairs (November 2012 and May 2013)
- South Korea – Call to action campaign to get potential students and their parents to attend the events
- China - Dragons of Long White Cloud documentary completed. Broadcasting will take place in 2013/14
- Social media monitoring in China

- Ongoing Search Engine Marketing investment in all Tier 1 and 2 markets
- ENZ ran 40 agent seminars and 3 Alumni events (in Malaysia, South Korea and China) for the industry linked to in-country fairs
- Funded 12 NZ regional education groups for agent familiarisation visits. The regional groups invited agents from emerging markets such as Philippines, Russia and Poland as well as Tier 2 countries that ENZ had not covered this year
- ENZ hosted 37 agents from India, Indonesia, South Korea, China, and Thailand
- A "Linked In" site was developed for Alumni.

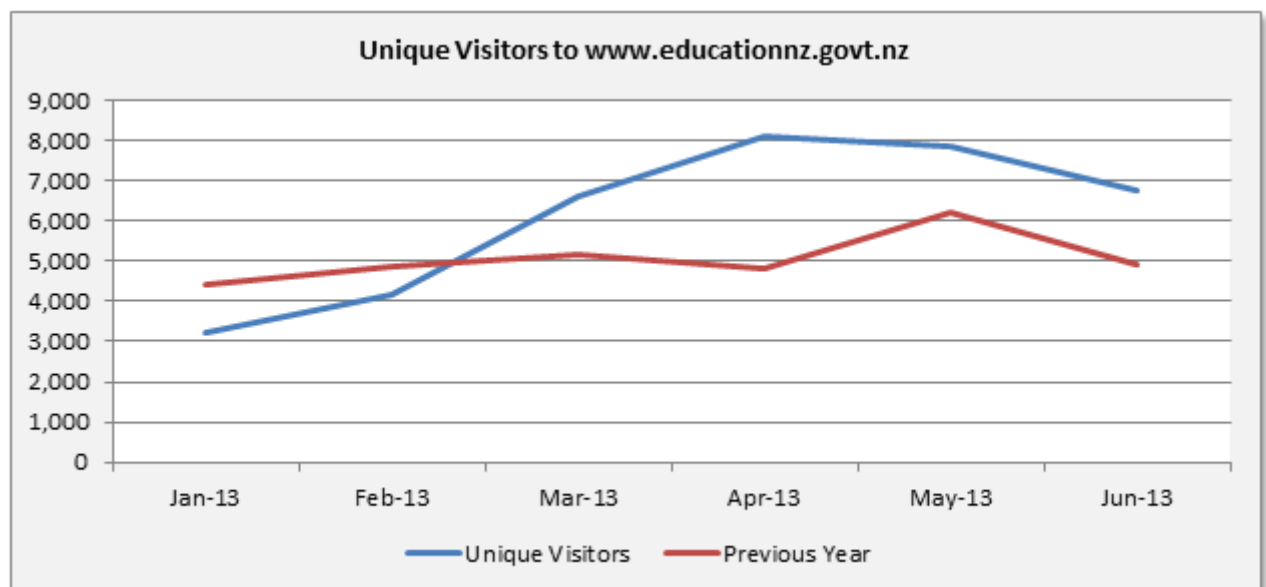
Development of e-learning for agents

The e-learning programme for agents has been developed. It is scheduled to be launched in July 2013 for New Zealand Specialist Agents and August 2013 for new agents.

Website development for students, potential students, industry

A new corporate website was developed and launched in January 2013. This is a website for the industry. It provides the industry with:

- country profiles
- country specific research
- case studies on successful companies
- media and industry articles.



Facebook launch and followers

Facebook followers	Established	March	April	May	June	Trend
India	Aug 2012	414	5,827	7,924	7,938	↗
Indonesia	Mar 2012	753	812	1,014	1,311	↗
Malaysia	Mar 2012	15,201	15,248	15,261	15,268	→
Thailand	Oct 2012	12,500	12,501	12,509	12,509	→
South Korea	Sep 2012	4,925	4,929	4,931	4,932	→
South America	Mar 2012	18,839	18,844	18,918	18,923	→
Brazil	Apr 2013	0	279	5,623	6,759	↗
Germany	May 2012	523	526	533	553	↗
Taiwan	Sep 2012	251	258	264	270	↗
Rest of World	Apr 2010	24,741	24,813	24,950	25,133	↗

Awareness campaigns

Brand awareness research was undertaken in Tier 1 countries. Prompted awareness is currently at 45% and 6% citing New Zealand as their most preferred education destination.

Professional and institutional development

ENZ completed three unique professional development training programmes for the industry. Over 300 industry representatives attended 14 seminars in Christchurch, Wellington, Tauranga and Auckland. The attendees, representing all international education sectors, gave an overall satisfaction rating of 91%.

The NZ International Education Conference was held in November 2012 in Auckland. More than 450 people attended the Conference which was designed to discuss new opportunities and look at how the industry can work together to make the most of the opportunities. The Conference was rated from fair to fantastic by 97% of attendees.

In April 2013, ENZ in partnership with Grow Wellington held the inaugural Education Technology for Export Conference that included over 200 delegates consisting of technology providers, publishers and content developers, game and application developers, hardware and software developers, education and training providers, and government agencies. Participants also expressed keen interest in attending the next education technology conference in 2014.

In April 2012, ENZ invited applications for the International Education Growth Fund (IEGF). Eighty applications were received and 29 projects were approved for matched funding of \$1.005 million for 24 providers.

ENZ has also entered into 14 funding agreements to support industry to collaborate and realise off-shore opportunities with a particular focus on Tier 1 markets.

Reimbursement of international students

Under sections 238I(1A) and (1B) of the Education Act 1989, the Minister of Education is empowered to use Export Education Levy funds to reimburse the Crown for expenses incurred in assisting international students affected by the closure of a private training establishment.

During the financial year a total of \$438,125 was used from the Trust Account to reimburse 148 international fee-paying students from seven private training establishments that closed owing students money. The providers were:

- ANZSIIS International School
- Computer Power NZ Limited
- Ellipse Institute
- National Institute of Studies
- Oxford International Academy
- The NZ School of Travel and Tourism, and
- Wings Flight Training Academy.

Administration and monitoring of the Code of Practice

The mandatory Code of Practice for the Pastoral Care of International Students (the Code) is established under section 238F of the Education Act 1989. The Act requires a provider to be a signatory to the Code in order to enrol international students. The Code was introduced on 31 March 2002 and was most recently revised on 1 November 2010.

The Ministry of Education, through its Pastoral Care office in Auckland, was responsible for administration of the Code during 2012/13.

Key tasks of the Pastoral Care Office

The key tasks of the Pastoral Care Office involve:

- Approval of applications to become a signatory to the Code
- Monitoring of Code compliance through administration of annual self-review and self-attestation return forms, and external agency evaluation reports from New Zealand Qualifications Authority (NZQA) and Education Review Office (ERO)
- Investigation of identified areas of non-compliance and areas for improvement
- Seeking to resolve high risk pastoral care issues
- Seeking to resolve serious breaches in coordination with other agencies, such as NZQA and Immigration New Zealand
- Referring serious breaches to the International Education Appeal Authority (IEAA) which may impose an appropriate sanction or may recommend to the International Education Review Panel (the Review Panel) suspension or removal of the provider as a Code signatory
- Providing Code advice and resources to Code signatories, and
- Liaising and cooperating with other agencies and stakeholders involved with the care and safety of international students nationally and regionally (including ENZ, Immigration NZ, and regional Police Liaison teams).

The Pastoral Care Office also:

- Managed (with the support of the Ministry of Justice) administration of the independent IEAA and Review Panel, and
- Managed government approval and monitoring of school student exchange schemes run through Exchange Programme Organisations and school-to-school partnerships.

Approval of signatories

During 2012/13, 17 new signatories were approved. As at 30 June 2013 there were 1,170 Code signatories. Table 3 shows signatories by sector and type of provider.

Table 3: Code Signatories by Sector and Provider Type to 30 June

	2007	2008	2009	2010	2011	2012	2013
Primary	530	517	518	523	528	529	525
Secondary	300	300	301	300	301	298	294
Composite	64	68	69	69	67	74	73
Total schools	894	885	888	892	896	901	892
Public Tertiary							
Education Institutions	30	30	29	29	30	30	30
Subsidiary Providers	9	9	9	7	7	6	5
Private Providers	296	285	272	270	269	260	243
Total tertiary	335	324	310	306	306	296	278
Total number of signatories	1,229	1,209	1,198	1,198	1,202	1,197	1,170

Ongoing monitoring of signatories

School sector overview

During the financial year the Education Review Office (ERO) reviewed and reported on the quality of education and care for international students in 145 schools where at least one international student was enrolled. ERO sent information to the Pastoral Care Office about eight schools which had some aspects that were not compliant with the Code. ERO is to publish a National ERO report outlining more detailed information related to the successes and issues with the education and care of international students.

Tertiary overview

The New Zealand Qualifications Authority (NZQA) includes a focus area on educational outcomes for international students within every External Evaluation and Review (EER) undertaken with signatory providers. Any issues and support for at-risk providers were discussed at regular meetings between the Pastoral Care team, EER evaluators and NZQA risk team. During the year 22 providers were referred to the Pastoral Care team for follow up.

International Education Appeal Authority

The International Education Appeal Authority (IEAA), which has three panel members, adjudicates on complaints received from international students or their authorised representatives, or referred to it by the Pastoral Care office concerning alleged breaches of the Code.

In 2012/2013 the IEAA received 76 new complaints from international students. This continued a trend of decreasing numbers of complaints received since 2009, when the IEAA received 246 complaints, mainly around fee refunds.

This year 39 complaints (51%) concerned compliance with the Code, and 25 (33%) concerned the refunding of fees. The remaining complaints were around issues such as enrolment, expulsion, academic and visa issues.

Table 4: Complaints lodged with IEAA to 30 June

Financial Year	2007	2008	2009	2010	2011	2012	2013
Number of Complaints	53	71	246	175	91	83	76

Table 5: Complaints to IEAA for year ended 30 June 2013 by Provider Type

Provider Type	Number
Primary school	26
Secondary/Composite school	17
Public Tertiary Institution	6
English Language Schools	16
other Private Training Establishments	10
Not a signatory to the Code	1
Total	76

International Education Review Panel

The International Education Review Panel considers recommendations made by the IEAA when a signatory has committed a serious breach of the Code, or has not satisfactorily complied with a sanction imposed. The Review Panel reports to the Ministry of Education annually. No cases were referred by the IEAA to the Review Panel in 2012/13.

Administration of the Export Education Levy

The administration of the Export Education Levy is carried out by the Ministry of Education. Costs include the administration of levy collection, management of the Levy Trust Account funds, policy work associated with the levy, computer hardware and software costs and the publication of the annual report. Expenditure on administration during the year ended 30 June 2013 totalled \$135,981.

Policy development

Transfer of responsibility for the Code of Practice for the Pastoral Care of International Students

During 2012/13 the government approved the outcomes of a policy project to review the *Code of Practice for the Pastoral Care of International Students* (the Code). As part of this review, the government decided to transfer operational responsibility for the Code from the Ministry of Education to the New Zealand Qualifications Authority (NZQA). This transfer took effect on 1 August 2013.

Export Education Levy

**Financial statements for the year
ended 30 June 2013**

Statement of responsibility

In Terms of Section 238I (3) of the Education Act 1989

The Ministry of Education as the agency responsible for administering the Export Education Levy has prepared these financial statements. The Secretary for Education accepts responsibility for the preparation of the annual financial statements and they have been prepared in accordance with generally accepted accounting practice.

Appropriate systems of internal control have been employed to ensure that all transactions are executed with appropriate authorisation, that all transactions are correctly processed and accounted for in the financial records, and that the assets are properly safeguarded.

In our opinion, the financial statements fairly reflect the financial position as at the end of the financial year and the financial performance and cash flows for the financial year ended 30 June 2013. We authorise the issuance of these financial statements on 25 October 2013.

Peter Hughes
Secretary for Education

25 October 2013

Tina Cornelius
Chief Financial Performance Officer

25 October 2013



Chartered Accountants

Independent Auditor's Report

To the Readers of the financial statements of the Export Education Levy

Report on the Financial Statements

We have audited the financial statements of the Export Education Levy on pages 19 to 31, which comprise the statement of financial position of the Export Education Levy as at 30 June 2013, and the statement of financial performance, statement of movements in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

This report is made solely to the readers of the financial statements of the Export Education Levy, as a body, in accordance with the Education Act 1989 Section 238I. Our audit has been undertaken so that we might state to the readers of the financial statements those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the readers of the financial statements as a body, for our audit work, for this report, or for the opinions we have formed.

Secretary for Education's Responsibility for the Financial Statements

The Secretary for Education is responsible for the preparation of the financial statements, in accordance with generally accepted accounting practice in New Zealand and that give a true and fair view of the matters to which they relate, and for such internal control as Secretary of Education determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on the financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing (New Zealand). These auditing standards require that we comply with relevant ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we have considered the internal control relevant to the entity's preparation of the financial statements that give a true and fair view of the matters to which they relate in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates, as well as evaluating the overall presentation of the financial statements.

We believe we have obtained sufficient and appropriate audit evidence to provide a basis for our audit opinion.

Other than in our capacity as auditor we have no relationship with, or interest in the Export Education Levy.

Opinion

In our opinion, the financial statements on pages 19 to 31:

- ▶ comply with generally accepted accounting practice in New Zealand;
- ▶ give a true and fair view of the financial position of the Export Education Levy as at 30 June 2013 and its financial performance and cash flows for the year then ended.

Ernst & Young
25 October 2013
Wellington

Statement of accounting policies

Reporting entity

The Export Education Levy is a scheme administered by the Ministry of Education in accordance with section 238H of the Education Act 1989.

These financial statements have been prepared in accordance with section 238I of this Act, that being New Zealand Generally Accepted Accounting Practice.

Measurement base

The measurement base adopted is historical cost unless otherwise stated.

The financial statements are presented in New Zealand dollars and all values are rounded to the nearest dollar (\$) unless otherwise stated.

Specific accounting policies

Financial instruments

The Ministry of Education as agent for the levy is a party to a variety of financial instrument arrangements as part of its everyday operations.

A financial instrument is any contract that gives rise to both a (recognised or unrecognised) financial asset of one entity and a (recognised or unrecognised) financial liability of another, or is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.

Financial instruments include accounts payable, receivables and cash. These have been recognised in the Statement of Financial Position.

Revenues and expenses in relation to these financial instruments are recognised in the Statement of Financial Performance.

Revenue

Revenue is derived from levies paid by participating educational institutions and interest on the funds held.

This revenue is recognised when it is earned and is reported in the financial period to which it relates.

Expenditure

Expenses are largely derived from costs incurred by Education New Zealand and the operation of the Code of Practice office. Education New Zealand operates a work programme on behalf of the industry in the areas of professional development, marketing and research. This is recognised as an expense when the Export Education Levy Trust refunds the Ministry of Education who initially pay Education New Zealand.

When education providers fail without fulfilling their contractual obligation to international students, the Export Education Levy provides support by refunding tuition fees to affected students. This is recognised as an expense when the Export Education Levy Trust fund refunds the Ministry of Education who initially pay the expense.

Accounts receivable

Accounts receivable are stated at net realisable value.

Cash

Cash consists of cash at bank and is recognised at its fair value.

Accounts payable

Accounts payable are stated at cost.

Goods and Services Tax

The Ministry of Education as agent for the levy is a registered person in terms of the Goods and Services Tax Act 1985. All statements are GST exclusive except for Accounts Payable and Accounts Receivable in the Statement of Financial Position.

Statement of cash flows

The year end bank balance in the Statement of Cash Flows consists of bank accounts that form part of the day-to-day cash management of the Ministry as agency for the levy.

The cash flows are classified into two activities:

a) Operating Activities

Includes cash received from all income sources including the Export Education Levy, bank interest and cash payments made for the supply of goods and services.

b) Investing Activities

The sources and use of this cash include the purchase of operational fixed assets.

Comparatives

Where changes in presentation of the financial statements have been made, comparative figures have been amended to reflect the changes.

Changes in accounting policies

There have been no changes in accounting policies. All policies have been applied on bases consistent with those used in the previous year.

EXPORT EDUCATION LEVY
STATEMENT OF FINANCIAL POSITION
AS AT 30 JUNE 2013

Description of Statement

The Statement of Financial Position reports the total assets and liabilities of the Export Education Levy. The difference between the assets and the liabilities is the equity.

	Notes	30/06/13 Actual \$	30/06/12 Actual \$
Equity		<u>1,903,267</u>	<u>1,726,365</u>
Which is represented by:			
Current Assets		<u>2,619,024</u>	<u>4,399,521</u>
Cash at Bank	1	2,313,795	3,874,961
Accounts Receivable	2	17,947	242,517
Levy Income Due but Not Received		199,467	208,425
GST Receivable		87,815	73,618
Less			
Current Liabilities		<u>(715,757)</u>	<u>(2,673,156)</u>
Accounts payable		(217,110)	(2,122,105)
Accrued Creditors		(97,701)	(155,676)
Levies Received in Advance		(400,946)	(395,375)
Net Assets		<u><u>1,903,267</u></u>	<u><u>1,726,365</u></u>

The accounting policies and notes are an integral part of the statement.

EXPORT EDUCATION LEVY
STATEMENT OF FINANCIAL PERFORMANCE
FOR THE YEAR ENDED 30 JUNE 2013

Description of Statement

The Statement of Financial Performance details the income and expenditure relating to all goods and services produced by the Ministry as agency for the Export Education Levy.

	Notes	30/06/13 Actual \$	30/06/12 Actual \$
Income			
Export Education Levies		3,471,238	3,485,395
Interest Received		53,348	49,918
Other income		19,132	1
Total Income		3,543,718	3,535,314
Expenditure			
Audit Fee		7,900	7,900
Export Education	3	3,358,867	3,492,623
Other Costs		49	74
Total Expenditure		3,366,816	3,500,597
Net Surplus/(Deficit)		176,902	34,717

The accounting policies and notes are an integral part of the statement.

EXPORT EDUCATION LEVY
STATEMENT OF MOVEMENTS IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2013

Description of Statement

The Statement of Movements in Equity combines information about the net surplus with other aspects of the financial performance of the Export Education Levy to give a degree of measure of comprehensive income. This, together with the Statement of Financial Position, provides information for assessing the return on investment in the Export Education Levy.

	30/06/13 Actual \$	30/06/12 Actual \$
Equity brought forward as at 1 July 2012	1,726,365	1,691,648
Add net surplus/(Deficit)	176,902	34,717
Total Recognised Revenues and Expenses for the Year	176,902	34,717
Total Equity as at 30 June 2013	1,903,267	1,726,365

The accounting policies and notes are an integral part of the statement

EXPORT EDUCATION LEVY
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30 JUNE 2013

Description of Statement

The Statement of Cash Flows summarises the cash movements in and out of the Export Education Levy Trust Account during the year.

	Note	30/06/13 Actual \$	30/06/12 Actual \$
Operating Activities			
Cash was Received From		-	-
Export Education Levy		3,485,847	3,520,138
Interest		56,573	44,149
Other Income		19,132	-
GST		-	301,964
		3,561,552	3,866,251
Cash was Expended on			
Production of Outputs			
Personnel		(135,067)	(131,597)
Operating		(4,725,187)	(1,783,538)
GST		(262,464)	-
		(5,122,718)	(1,915,135)
Net Cash Flows From Operating Activities	4	(1,561,166)	1,951,116
Cash at year start		3,874,961	1,923,845
Cash at year end		2,313,795	3,874,961
Represented by Cash at Bank		2,313,795	3,874,961

The accounting policies and notes are an integral part of the statement

Statement of Commitments

There are no commitments at 30 June 2013 (Nil for the year ended 30 June 2012)

Statement of Contingent Assets

There are no contingent assets at 30 June 2013 (Nil for the year ended 30 June 2012)

Statement of Contingent Liabilities

There are no contingent liabilities at 30 June 2013 (Nil for the year ended 30 June 2012)

The accounting policies and notes are an integral part of the statement.

Notes to the Financial Statements

Note 1 - Cash at Bank

	30/06/13 Actual \$	30/06/12 Actual \$
Cheque Account	1,800,189	3,378,771
Short Term Investments	513,606	496,190
Total Bank	<u>2,313,795</u>	<u>3,874,961</u>

Note 2 - Accounts Receivable

	30/06/13 Actual \$	30/06/12 Actual \$
Accounts Receivable	-	1,620
Accrued Debtors	10,990	230,715
Accrued Interest	6,957	10,182
Total Accounts Receivable	<u>17,947</u>	<u>242,517</u>

Note 3 - Export Education Levy Costs

	Notes	30/06/13 Actual \$	30/06/12 Actual \$
Bad Debts Written Off		-	4,517
Professional & Industry Development	5	714,791	2,985
Promotions/Marketing	6	1,156,900	1,483,683
Research	7	284,600	134,462
Other	8	246,342	556,000
Code of Practice	9	518,109	753,353
Support for students affected by failure of providers		438,125	557,623
Total Export Education Levy Costs		<u>3,358,867</u>	<u>3,492,623</u>

Note 4 - Reconciliation of Net Surplus with Cash Flows from Operating Activities**Description of Reconciliation**

This reconciliation discloses the non-cash adjustments included in determining the net operating surplus reported in the Statement of Financial Performance to arrive at the net cash flows from operating activities disclosed in the Statement of Cash Flows.

	30/06/13	30/06/12
	Actual	Actual
	\$	\$
Reported Net Surplus/(Deficit)	176,902	34,717
Add/(Less) Movements in Working Capital Items		
(Increase)/Decrease in Accounts Receivable	1,620	(543)
(Increase)/Decrease in Doubtful Debts	-	-
(Increase)/Decrease in Accrued Debtors	219,725	(230,340)
(Increase)/Decrease in Interest Receivable	3,225	(5,770)
(Increase)/Decrease in Levy Income Due but Not Received	8,957	20,404
Increase/(Decrease) in Accounts Payable	(1,904,994)	2,075,785
Increase/(Decrease) in Accrued Creditors	(57,975)	11,163
Increase/(Decrease) in Levy Received in Advance	5,571	14,419
(Increase)/Decrease in Net GST	(14,197)	31,281
	(1,738,068)	1,916,399
Net Cash Flows from Operating Activities	(1,561,166)	1,951,116

Note 5 - Professional & Industry Development

	30/06/13 Actual \$	30/06/12 Actual \$
Resource material	-	2,985
Conferences	24,750	-
International Education Growth Fund	519,391	-
Stakeholder advisory committee travel	5,500	-
Workshops, seminars and events	88,750	-
Agent training	76,400	-
Total Professional Development	714,791	2,985

Note 6 - Promotion

	30/06/13 Actual \$	30/06/12 Actual \$
Agent familiarisation visits	77,400	62,734
Events held in other countries	379,200	1,096,991
Network development	-	60,866
Published material	-	19,854
Social media marketing	480,800	236,128
Marketing projects	124,700	-
Website development and maintenance	94,800	7,110
Total Promotion	1,156,900	1,483,683

Note 7 - Research

	30/06/13 Actual \$	30/06/12 Actual \$
Development of industry	-	26,000
Economic value of international students	8,200	26,689
Market research	276,400	63,573
Student satisfaction	-	18,200
Total Research	284,600	134,462

Note 8 - Other Expenses

	30/06/13 Actual \$	30/06/12 Actual \$
Industry Body Core Funding	-	58,500
Levy programme management - ENZ	109,209	355,388
Printing of annual report	230	240
Levy policy staff costs	45,099	50,571
Levy administration costs	90,399	81,078
Software maintenance	253	863
Other services and contracts	1,152	9,360
Total Other Expenses	246,342	556,000

Note 9 - Code of Practice for the Pastoral Care of International Students

	30/06/13 Actual \$	30/06/12 Actual \$
Administration of Code	427,301	503,300
International Education Appeal Authority (IEAA)	81,587	233,344
Review Panel	7,221	16,206
Resources	2,000	503
Total Code Office	518,109	753,353

Note 10 - Administration of Code

	30/06/13 Actual \$	30/06/12 Actual \$
Personnel	349,829	402,521
Travel and meetings	30,432	61,024
Communications	1,301	3,002
Office expenses	45,739	36,753
Total Code Office	427,301	503,300

Note 11 - Financial Instruments

Credit Risk

Financial instruments which potentially subject the Export Education Levy to credit risk principally consist of bank balances and accounts receivable.

The Export Education Levy does not hold any collateral for any of its assets subject to credit risk.

Maximum Credit Risk Exposure

	30/06/13	30/06/12
	Actual	Actual
	\$	\$
Bank	2,313,795	3,874,961
Accounts Receivable	17,947	242,517
Total Maximum Credit Risk Exposure	<u>2,331,742</u>	<u>4,117,478</u>

The above maximum exposures are net of any recognised provision for losses on these financial instruments.

Concentrations of Credit Risk

All bank balances are held with the same bank. There are no other concentrations of credit risk.

Interest Rate risk

Included within the bank balance is \$513,606 (2012: \$496,190) held on term deposit at a weighted average interest rate of 3.44% (2012: 3.63%). All term deposits have maturity dates less than 1 year.

Fair Value

The fair value of all financial instruments is equivalent to the carrying value disclosed in the Statement of Financial Position.

Note 12 - Related Party Disclosure

The Ministry of Education is a related party of the Export Education Levy. The Ministry of Education administers the Export Education Levy, provides policy advice to the government, and undertakes services related to the Code of Practice for the Pastoral Care of International Students.

These services are provided on an arm's length basis.

The majority of the transactions with the Ministry of Education are reimbursements for payments made by the Ministry to third party providers.

	Notes	30/06/2013	30/06/2012
Expense transactions with the Ministry of Education	5-9	2,920,742	2,930,483
Accounts payable to the Ministry of Education		314,811	2,277,781

Note 13 - Segment Information

The Export Education Levy operates in the Export Education industry. All operations are carried out within New Zealand.